VANDERBILT UNIVERSITY

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School Choice in Indy:
What does the research say?

Mark J. Chin
Assistant Professor of Education Policy



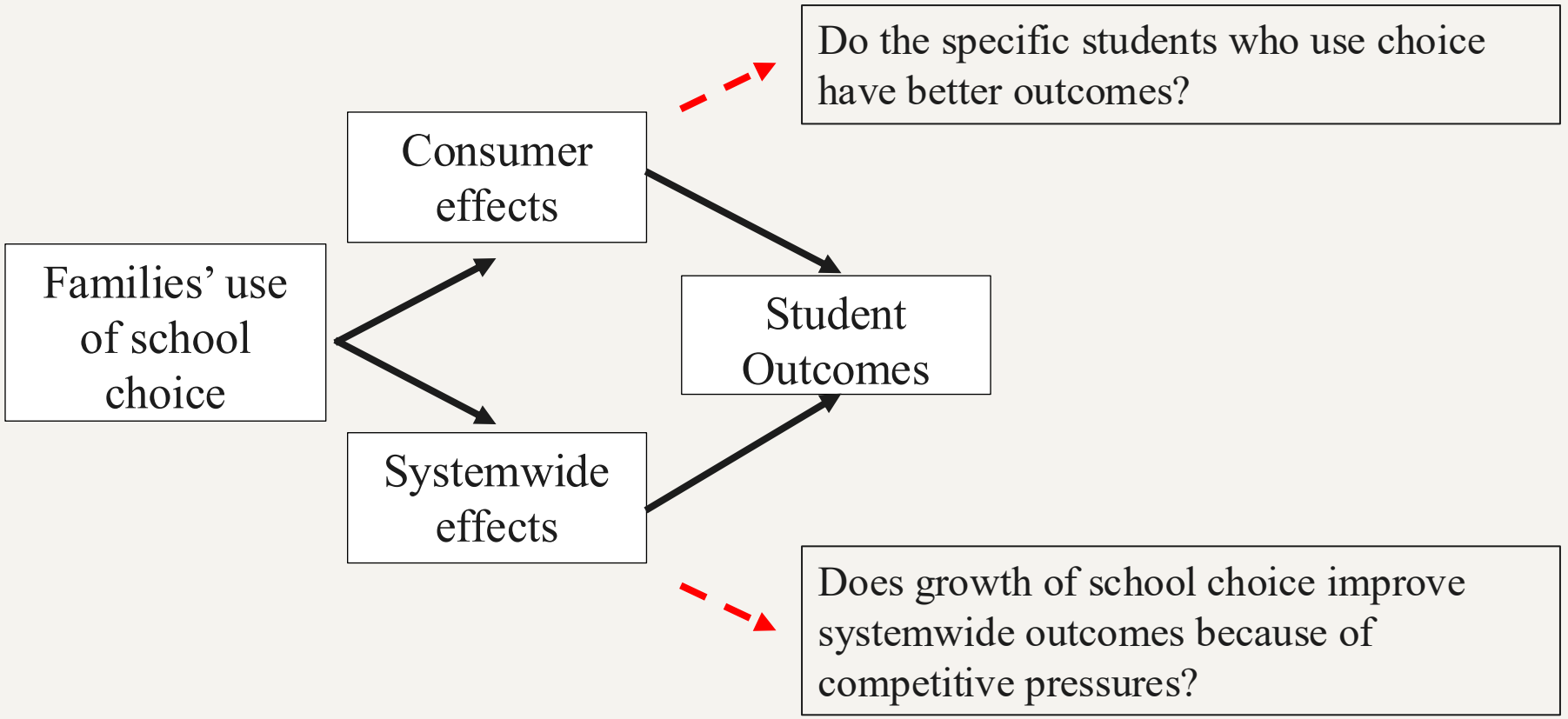
Roadmap

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2. Evidence on Indy's achievement relative to peers
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4. Differences in spending across sectors
5. Past research on comparable cases – New Orleans
6. Past research on Indy – Center for Research on Educational Outcomes
7. What next?

Roadmap

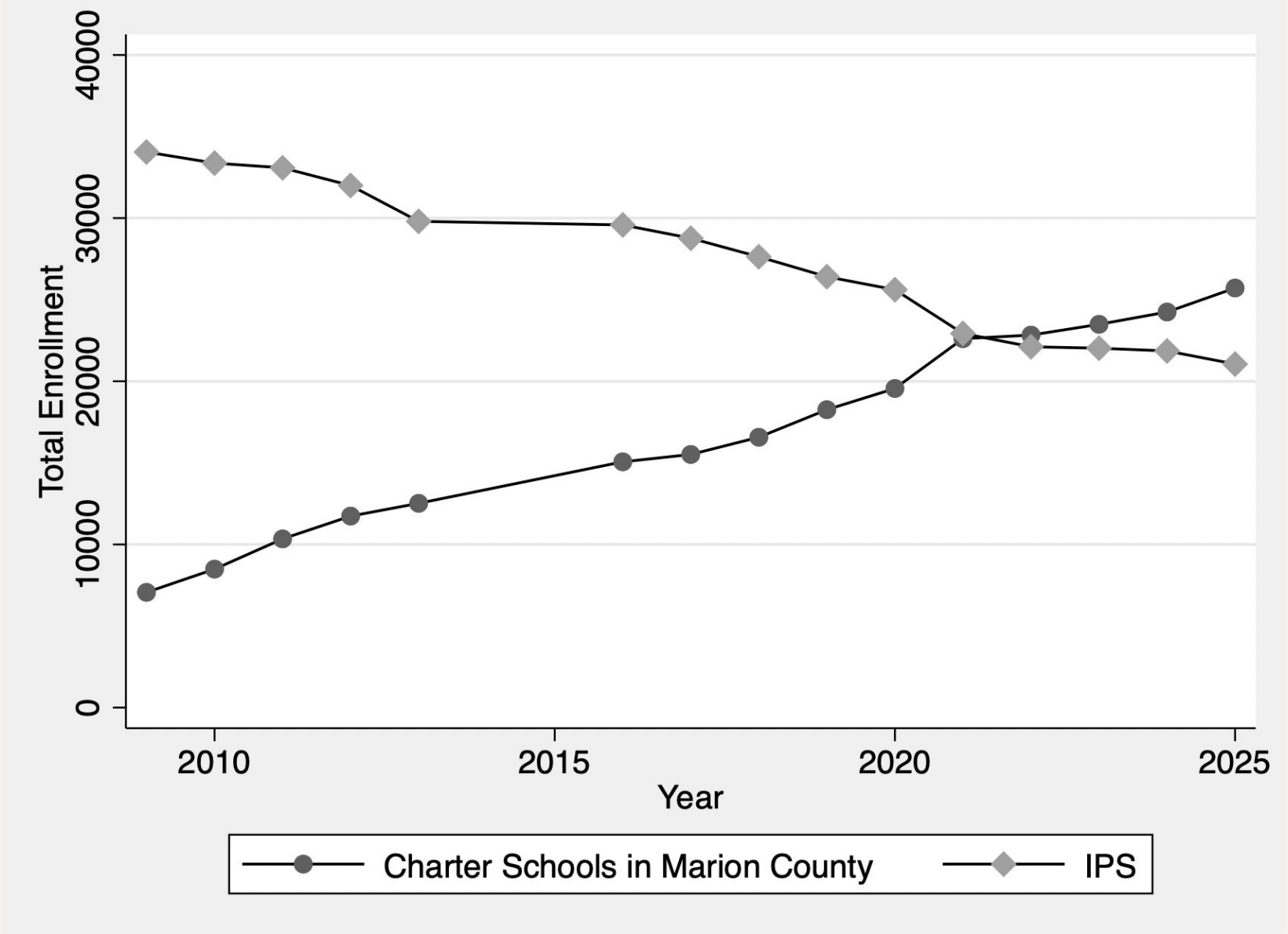
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Theory of Action



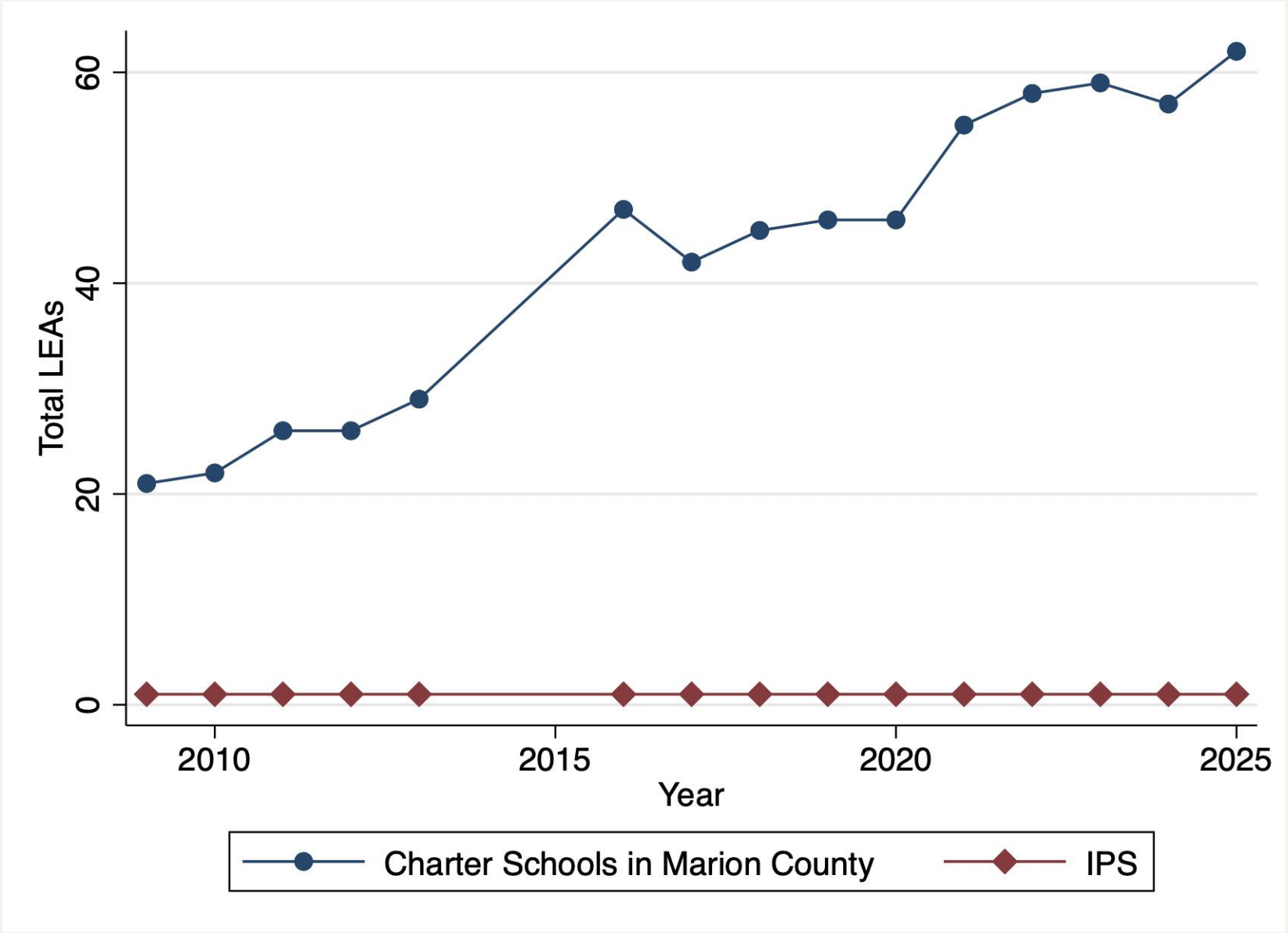
Systemwide Effects in Indy

Charter schools in Indy now serve more students than IPS.



Systemwide Effects in Indy

The number of unique charter school agencies in the city has grown consistently over time.

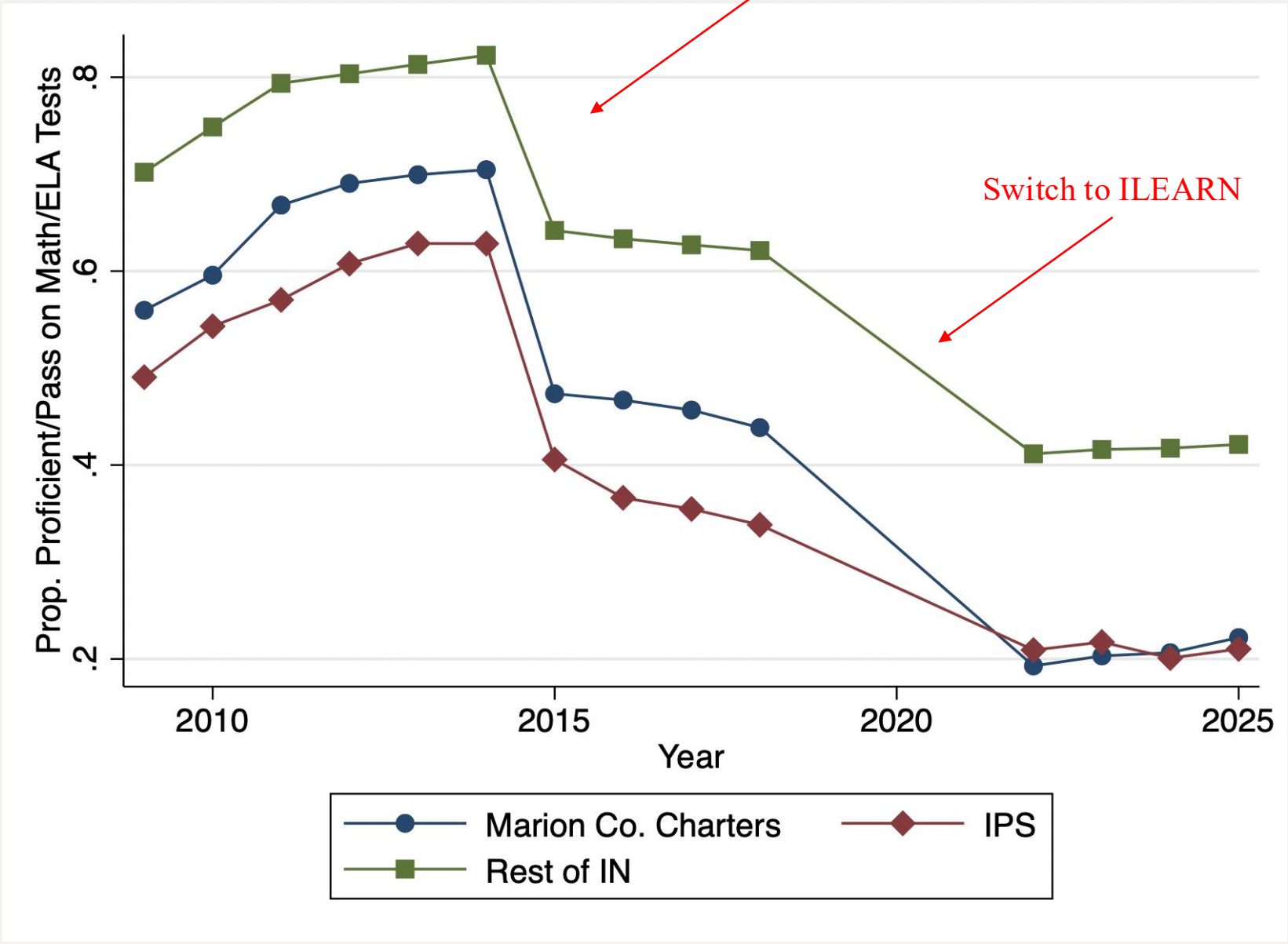


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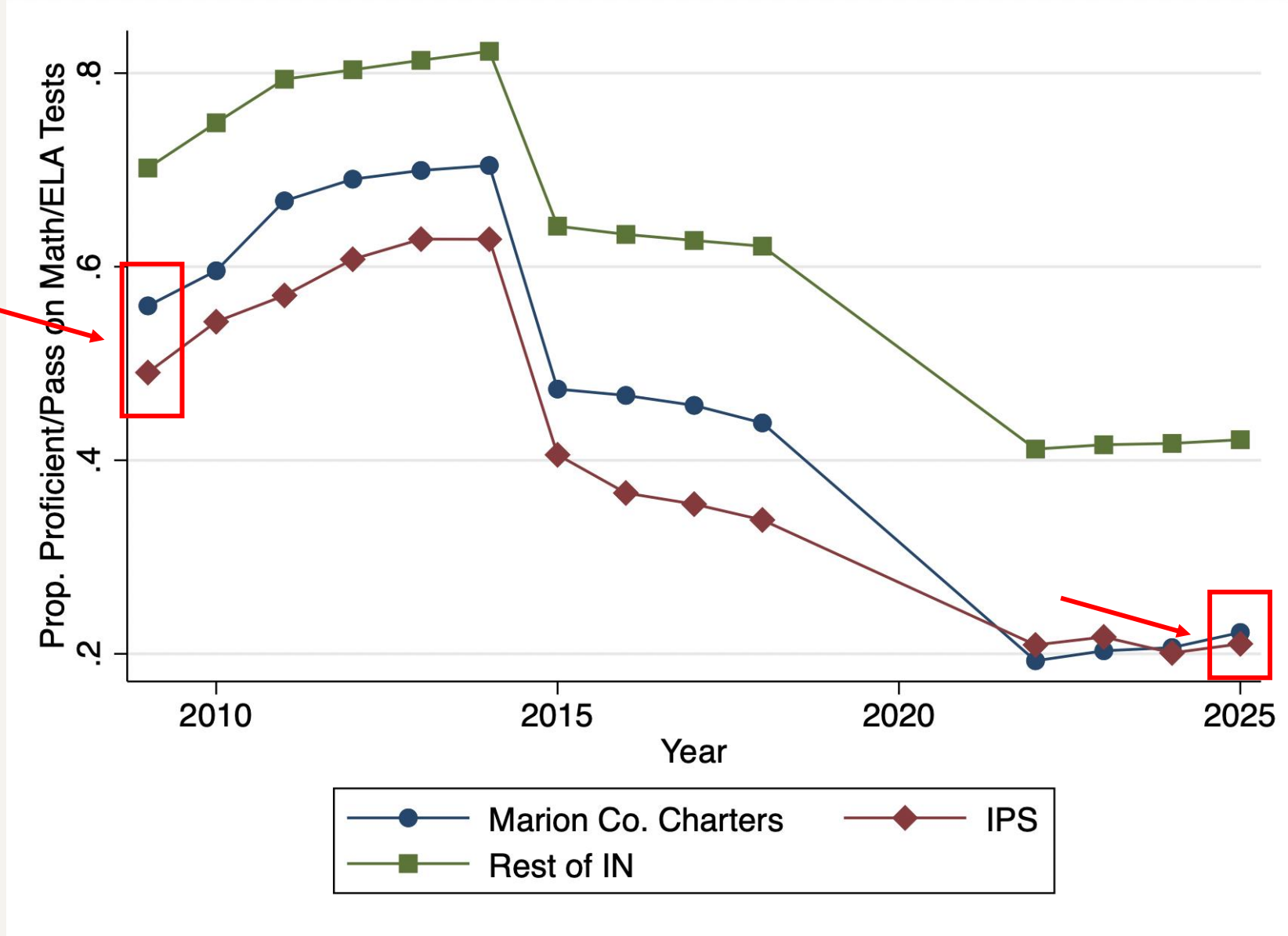
Compared to the rest of the state, no sector in Indy has made up ground in academic performance.



Data source: IDOE – ISTEP+/ILEARN

Systemwide Effects in Indy

In fact, charters in Marion County* started higher but now perform similarly to schools in IPS.



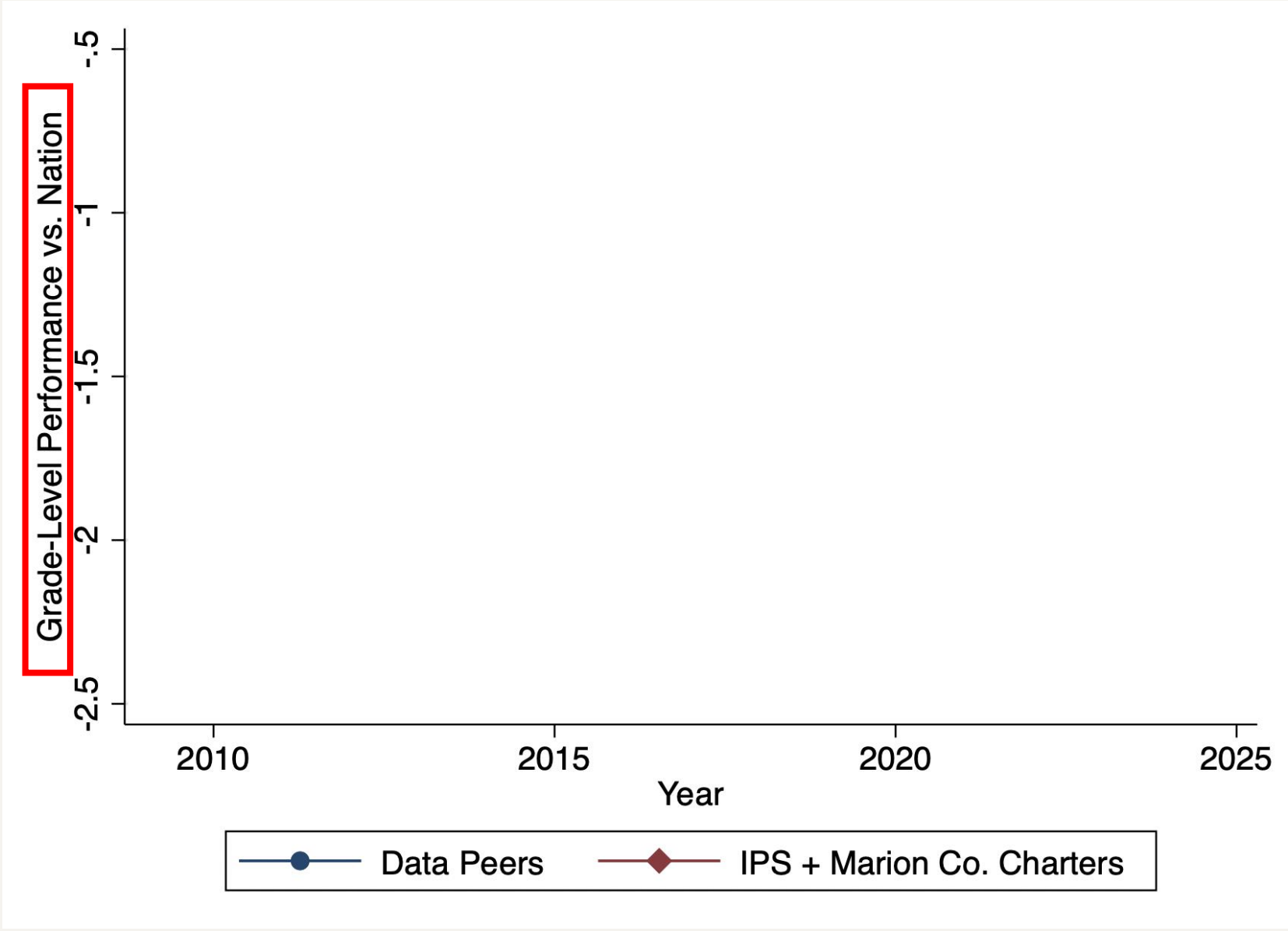
*In 2026, charters in IPS boundaries accounted for 96% of Grade 3 to 8 enrollment of all charters in Marion County

Data source: IDOE – ISTEP+/ILEARN

Systemwide Effects in Indy

For comparing Indy to districts outside of IN, I use data from Stanford, who benchmarks state test performance to the NAEP.

Here I show how far below (or above) grade level students are predicted to be based on their test scores.

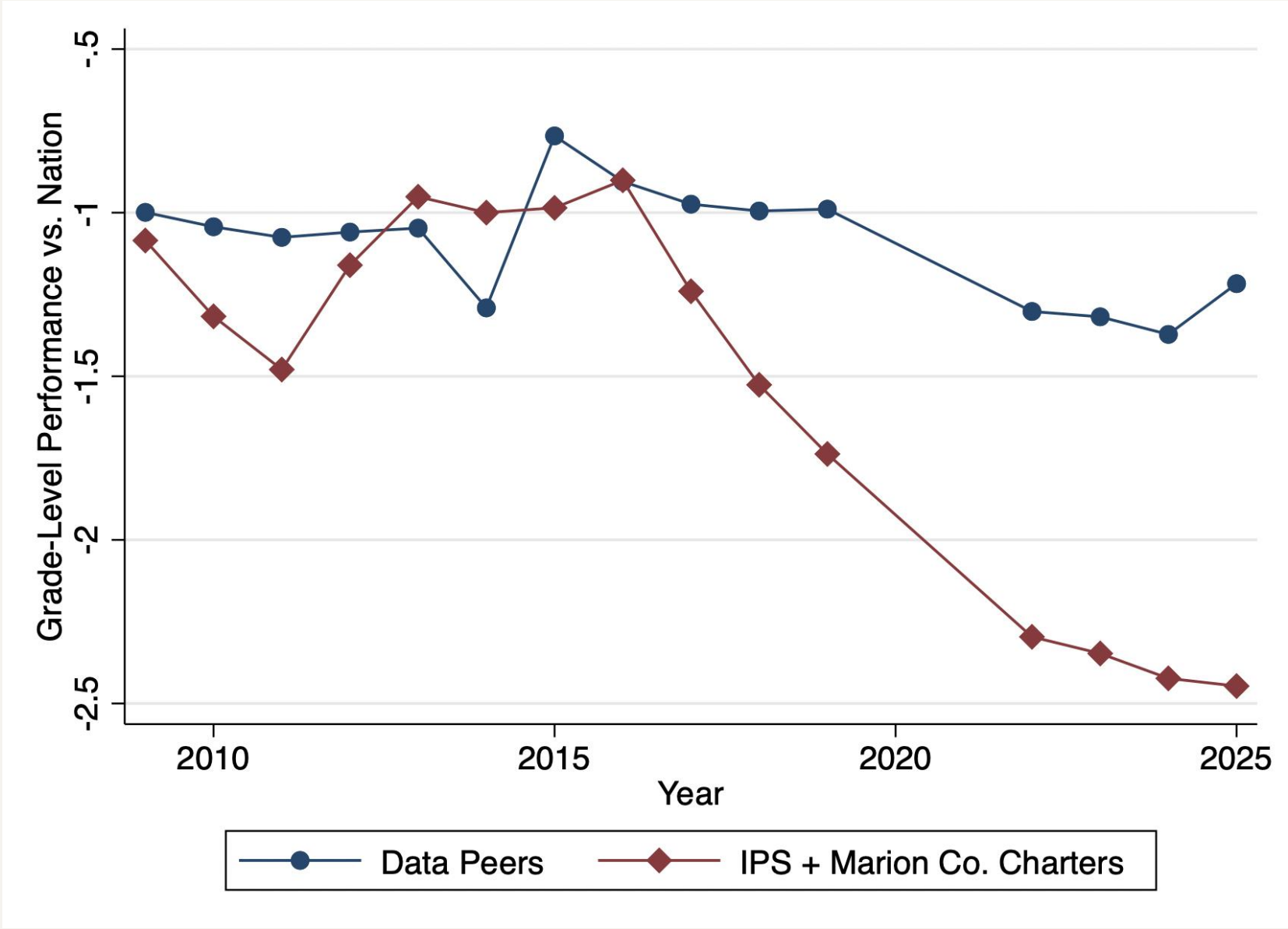


Data source: Stanford – based on NAEP

Systemwide Effects in Indy

Students in the rest of IN may not be a good comparison.

But when we compare to performance in peer* cities, determined by a data-driven process, Indy's systemwide achievement underperforms alongside charter sector growth.

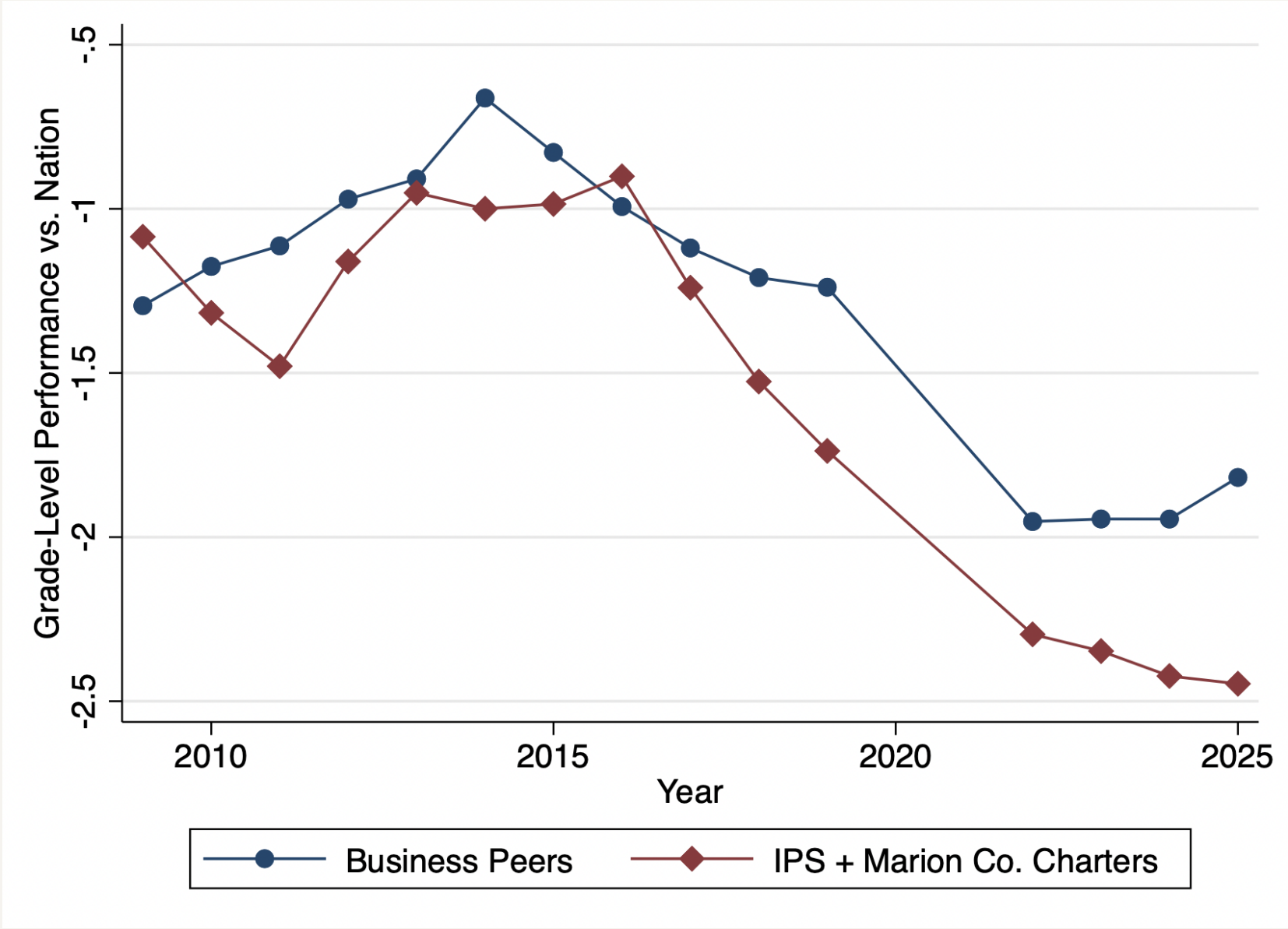


*See appendix slides for how I identify peers.

Data source: Stanford – based on NAEP

Systemwide Effects in Indy

The same is true when comparing it to "business" peers* – major urban centers in the Midwest.



*See appendix slides for how I identify peers.

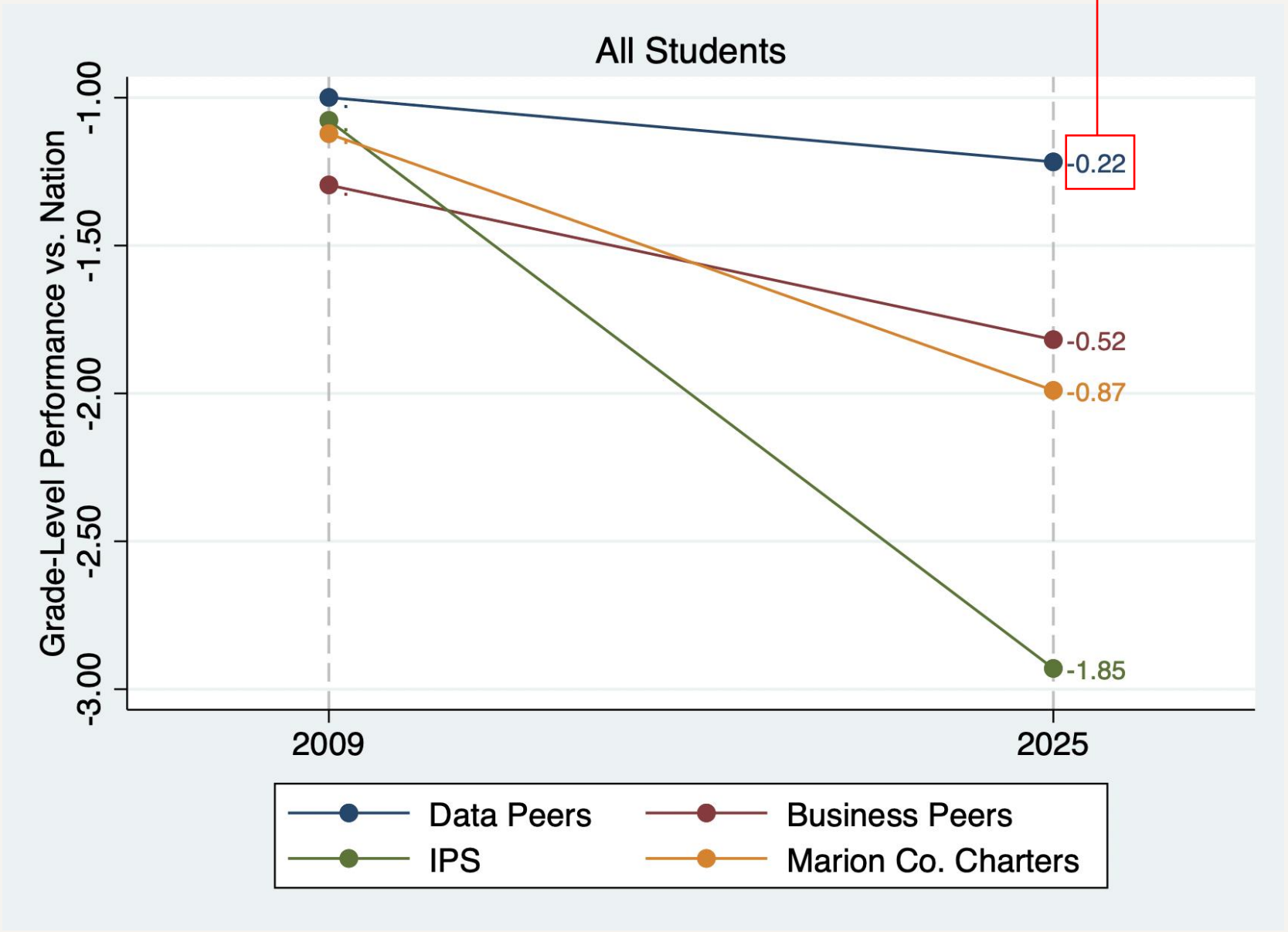
Data source: Stanford – based on NAEP

Systemwide Effects in Indy

Are certain sectors performing better?

Charters in Indy still underperform peers in 2025, but less so than IPS.

Both sectors have worsened in performance more than peers over time.

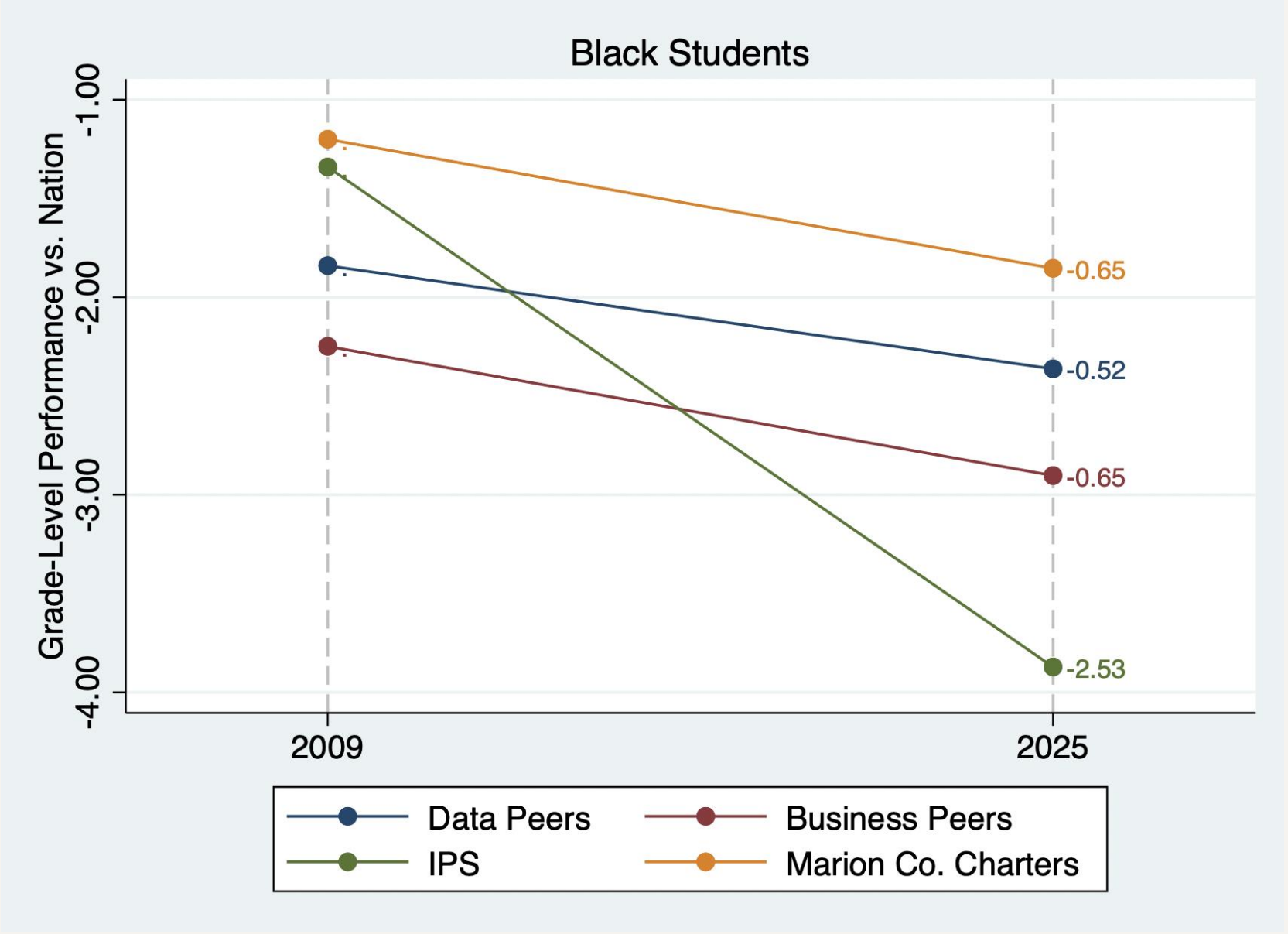


Data source: Stanford – based on NAEP

Systemwide Effects in Indy

For Black students, charters in Indy outperform peers in 2025, but they have declined more over time.

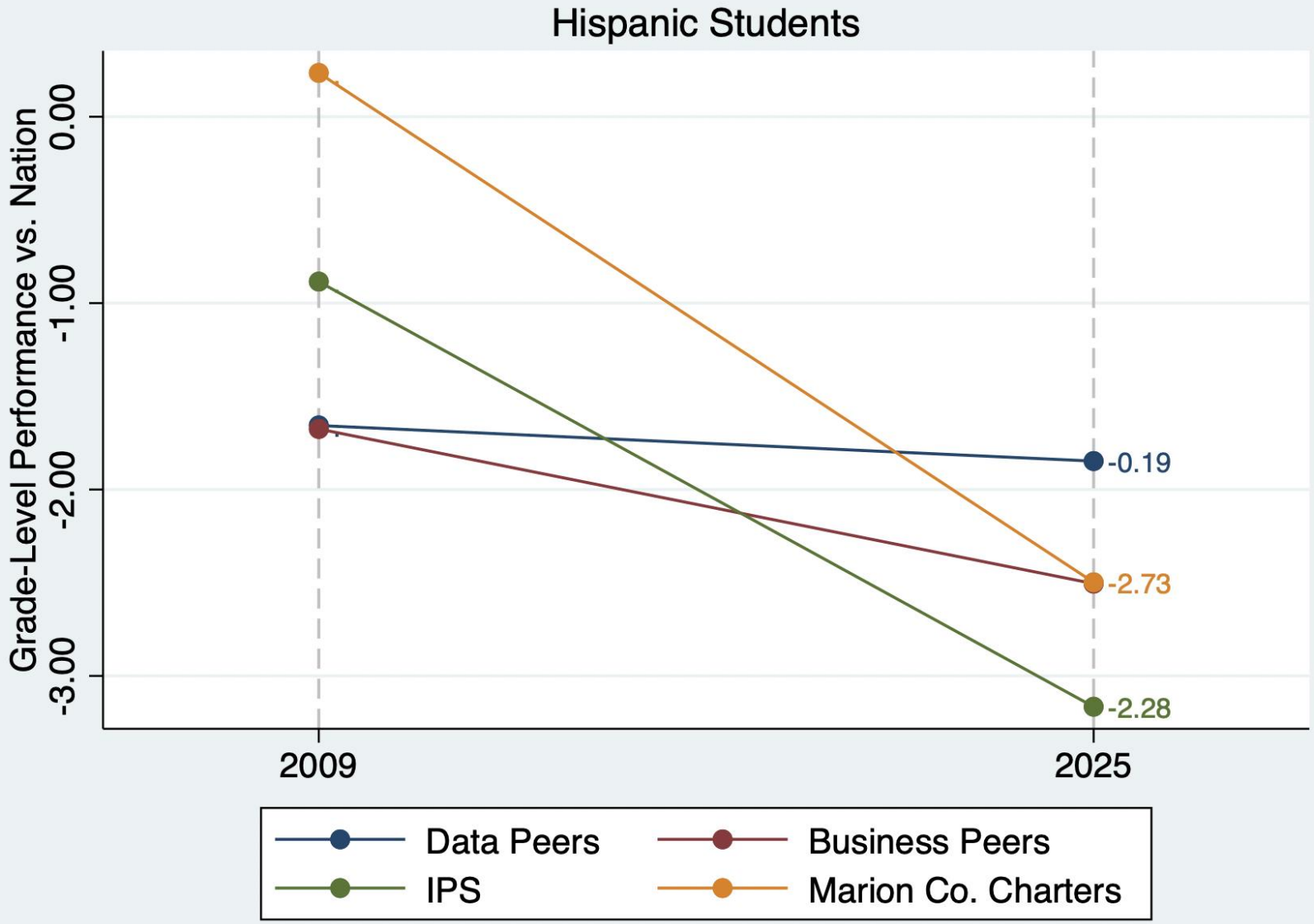
IPS has declined more and underperform.



Data source: Stanford – based on NAEP

Systemwide Effects in Indy

But for Hispanic students, charters in Indy* at best perform the same as peers in 2025, but they have declined more than all groups.



*For Marion. Co charters, these test scores are collated from 2010 because of limited number of test takers in the sector in 2009.

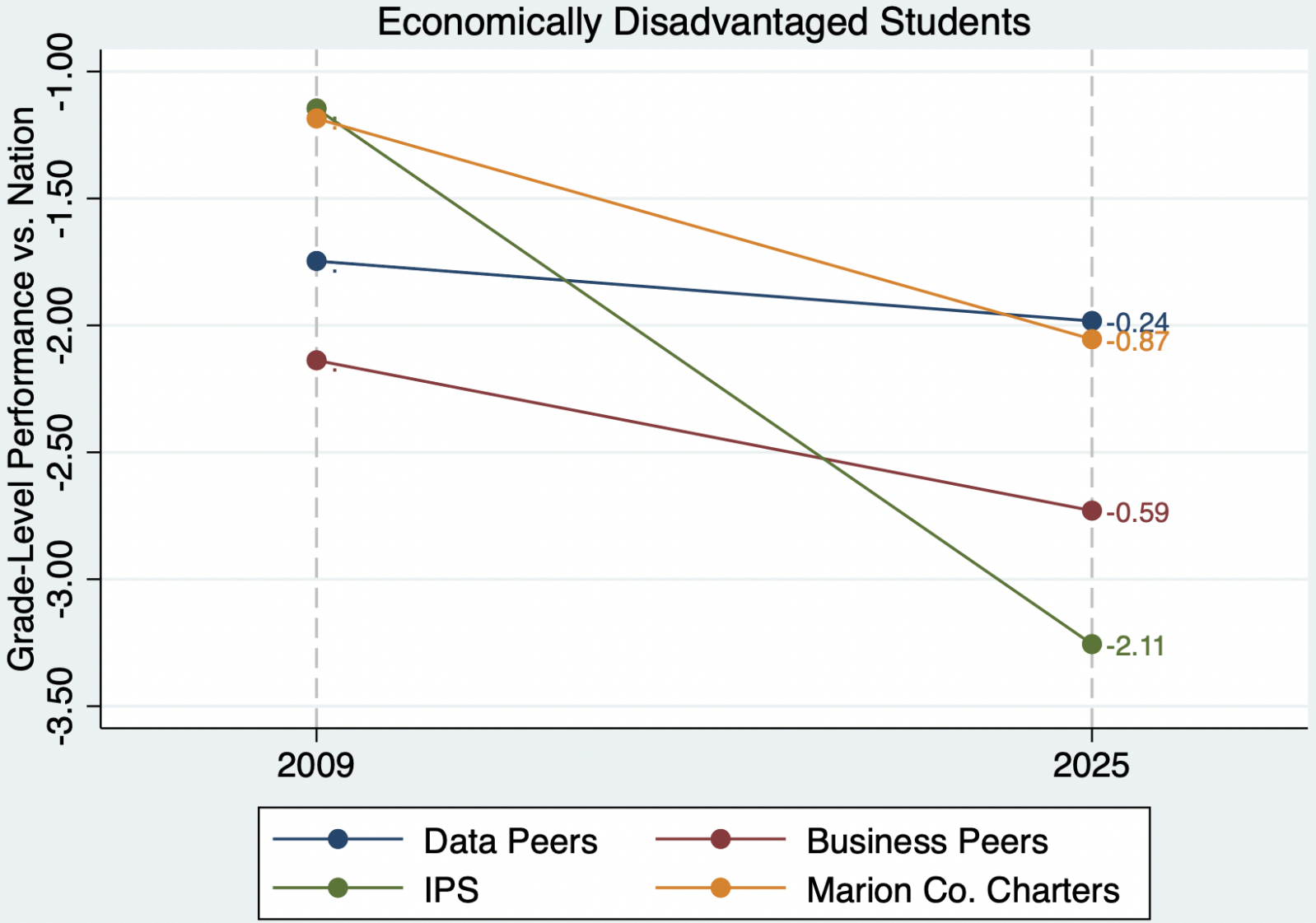
Data source: Stanford – based on NAEP

Systemwide Effects in Indy

Economically disadvantaged students in Indy charters underperform data peers in 2025 but outperform business peers.

But they also decline more over time relative to both groups.

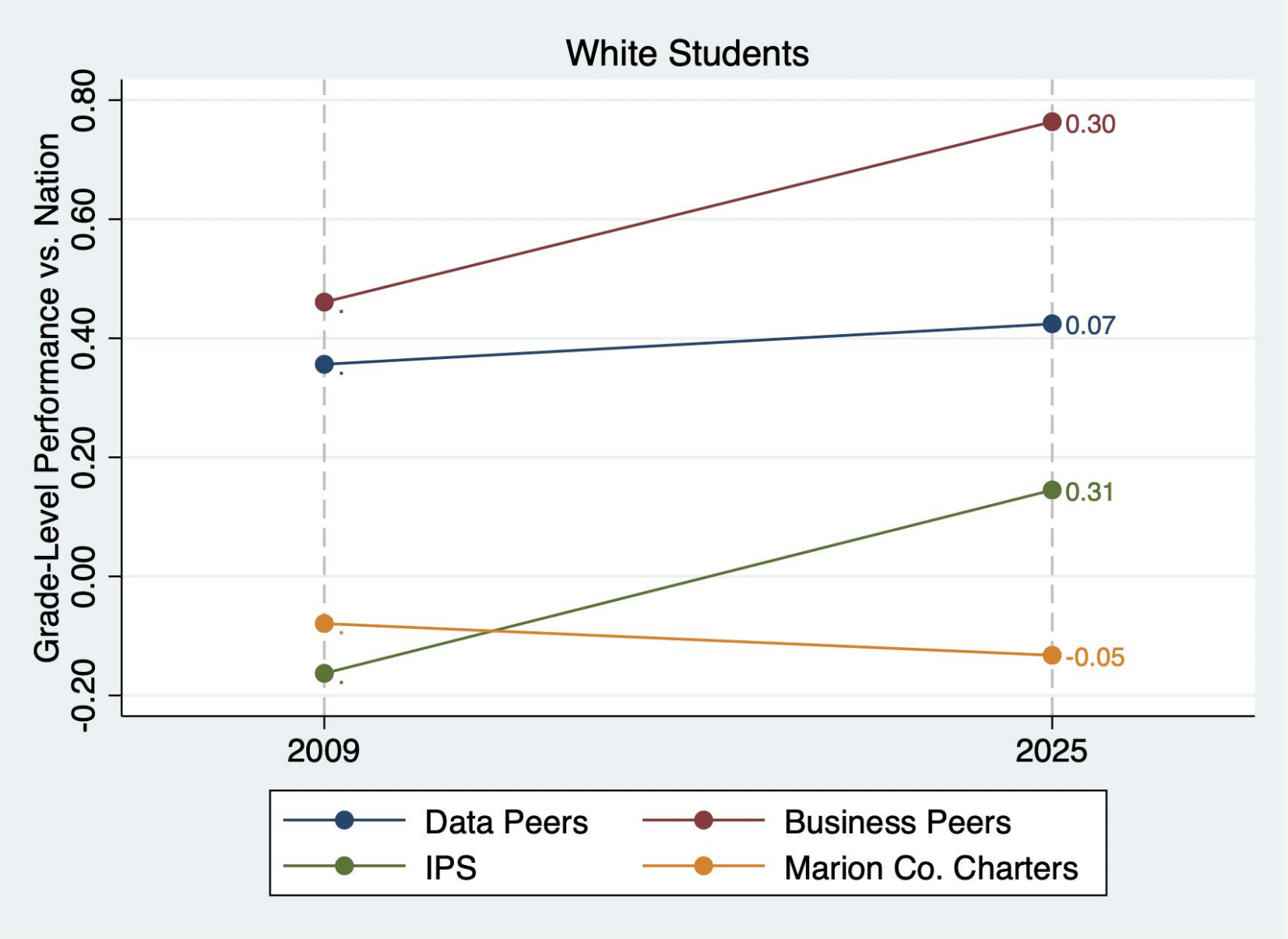
*In later slides, I question how disadvantage is being measured.



Data source: Stanford – based on NAEP

Systemwide Effects in Indy

Finally, though White students in IPS start the lowest, their performance grows the most over this period. Indy charters underperform all groups.



Data source: Stanford – based on NAEP

Systemwide Effects in Indy

There is limited evidence that supports the conclusion that growth in charter sector enrollment in Indy has substantially improved student academic performance over the past decade and a half.

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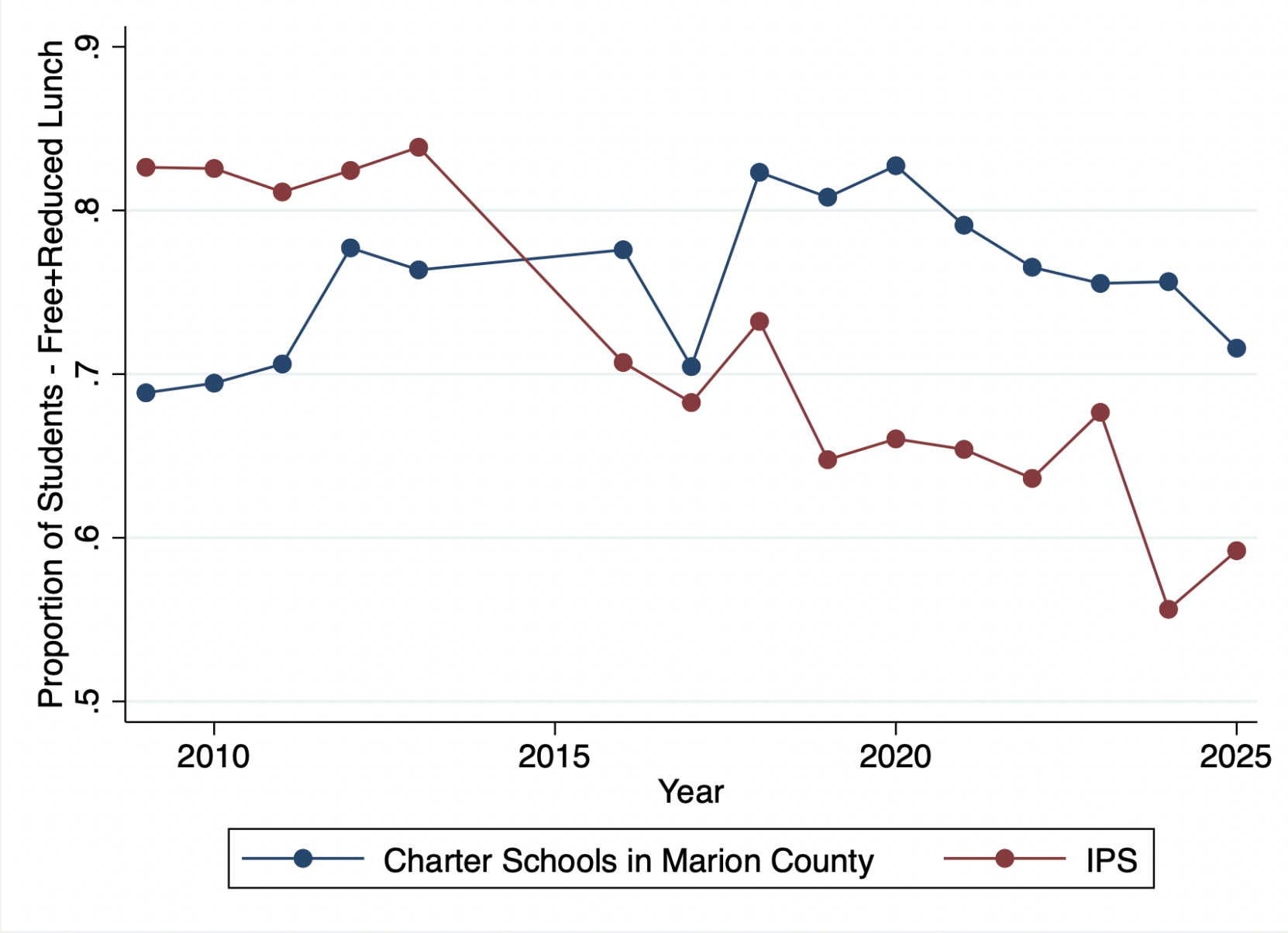
Differences in Student Composition

Some evidence from the systemwide effects indicated that certain groups in Indy charters were outperforming IPS, even if the entire system underperformed peers.

But there is reason to believe that differences in student composition between the sectors results in an apples-to-oranges comparison in academic performance.

Differences in Student Composition

From data on eligibility for free/reduced price lunch (FRPL), it appears that the charter sector serves a population of students with higher economic need.

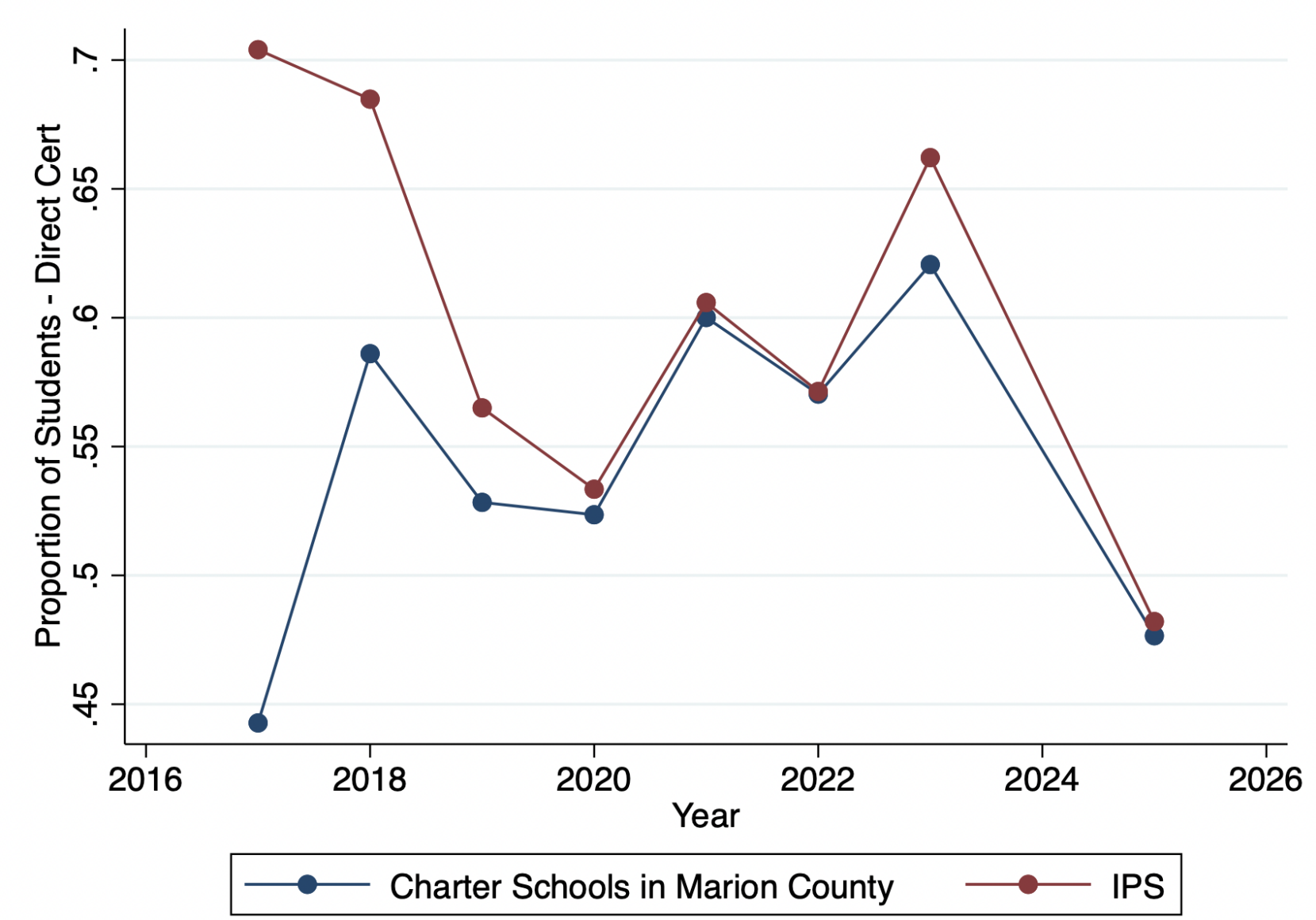


Data source: National Center for Education Statistics

Differences in Student Composition

However, based on direct certification data, IPS serves the same proportion (or even greater) of economically disadvantaged students.

Prior research shows that Community Eligibility Provision of meals in schools can lead to unreliable FRPL data.

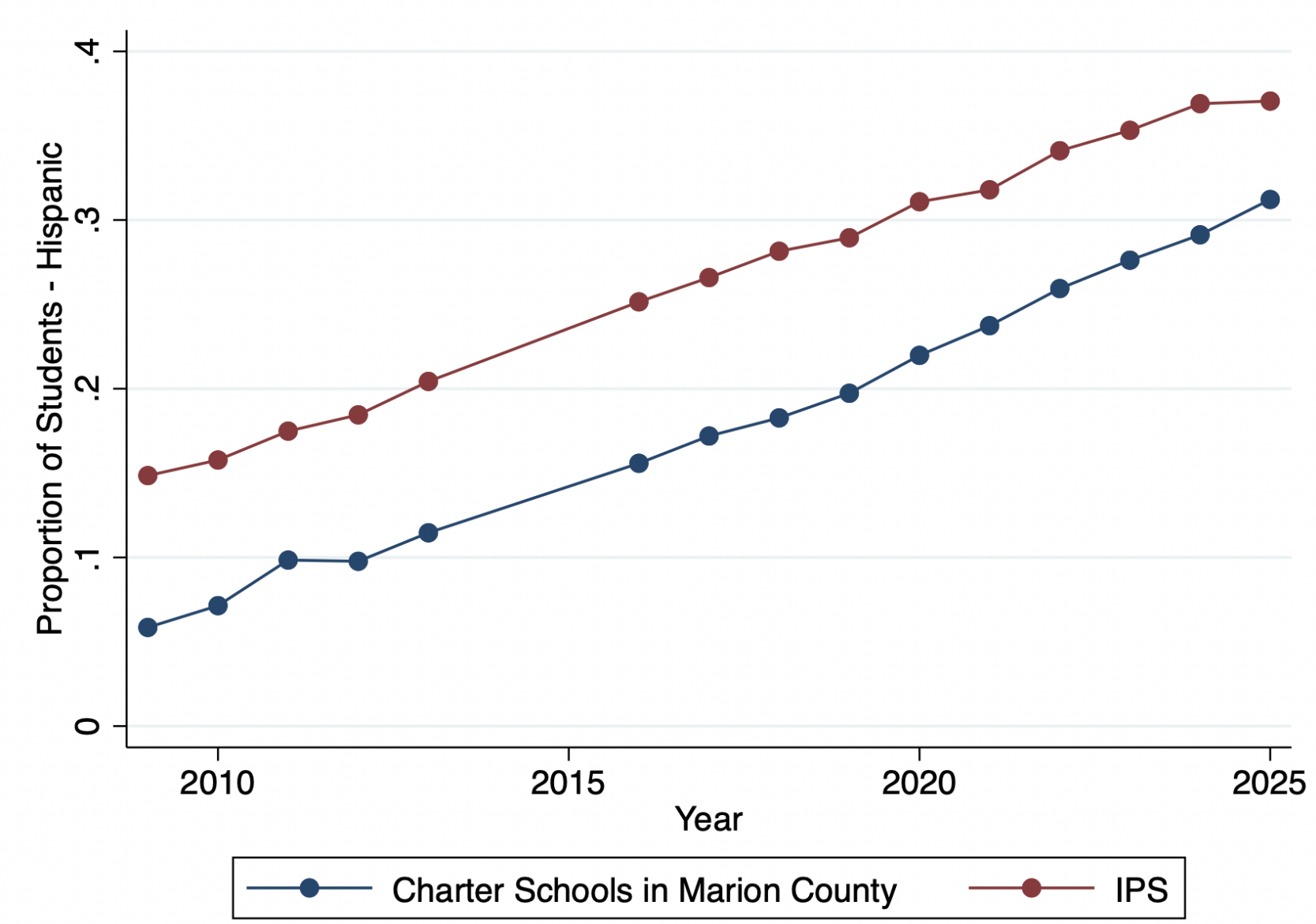


Data source: National Center for Education Statistics

Differences in Student Composition

Furthermore, even direct certification can under-report economic disadvantage if mixed status families avoid safety-net programs.

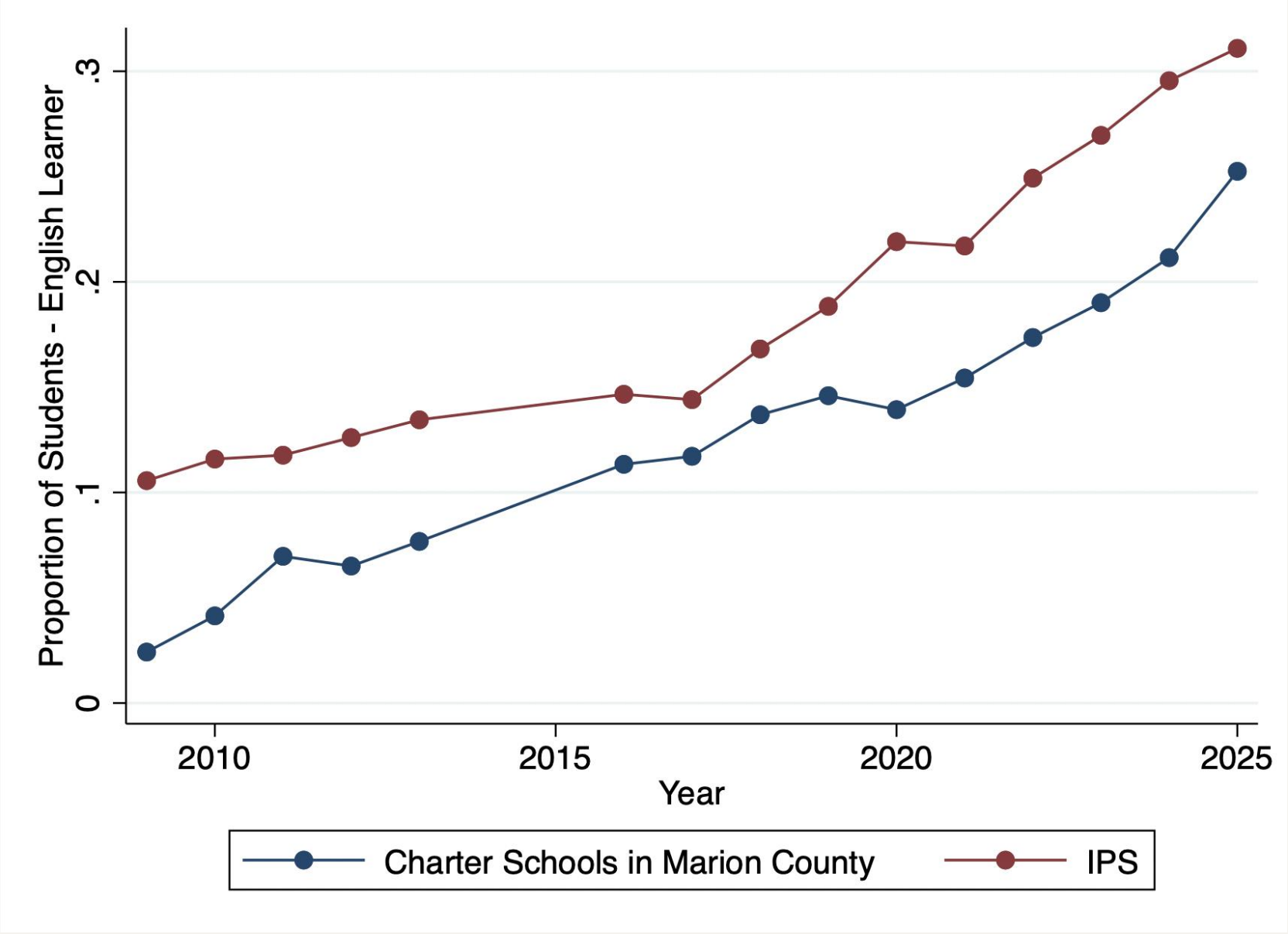
This may be relevant when comparing populations that differ in immigrant background characteristics…



Data source: National Center for Education Statistics

Differences in Student Composition

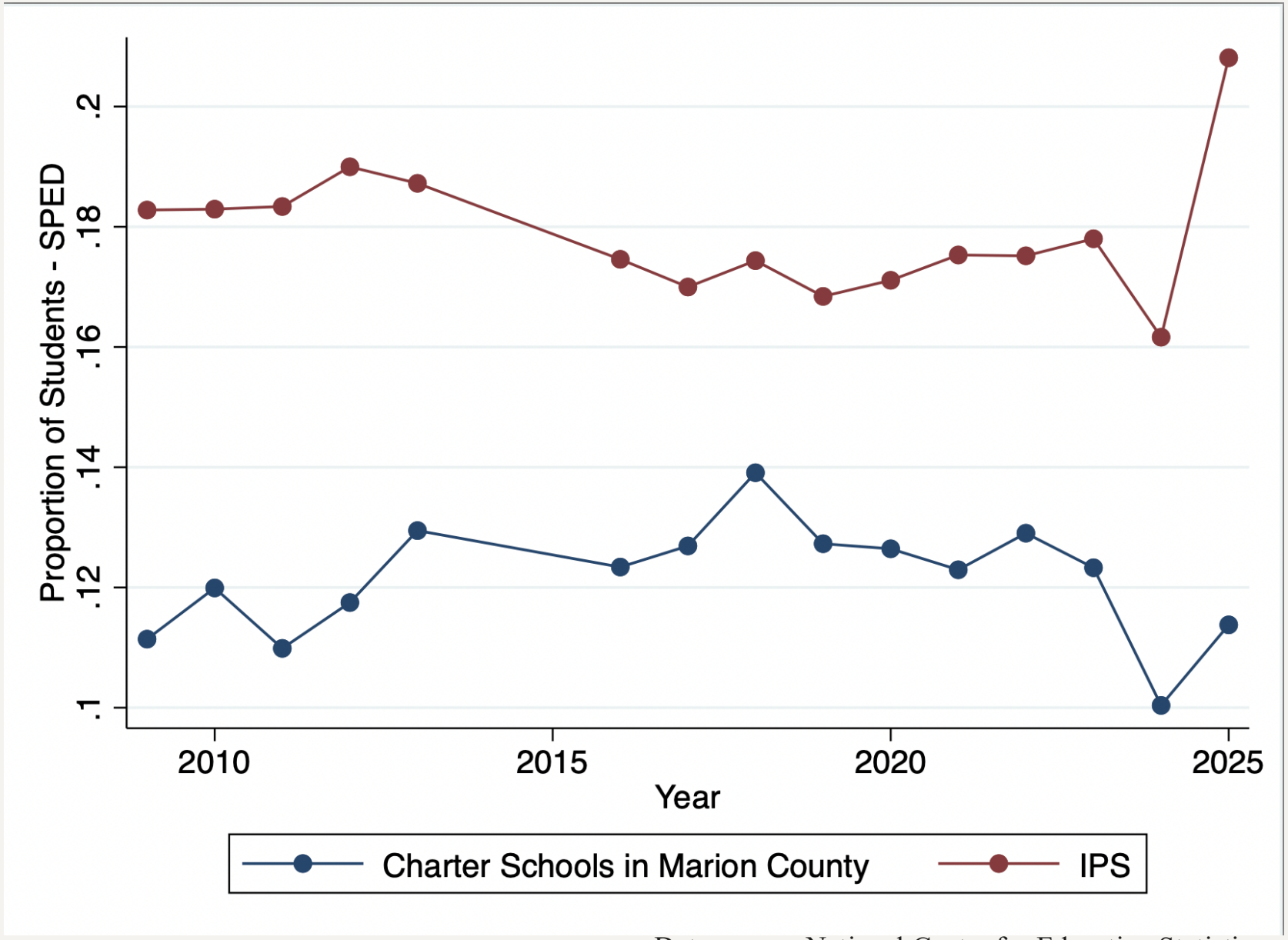
… or language-background characteristics.



Data source: National Center for Education Statistics

Differences in Student Composition

Finally, IPS serves a much bigger proportion of students that receive special education.

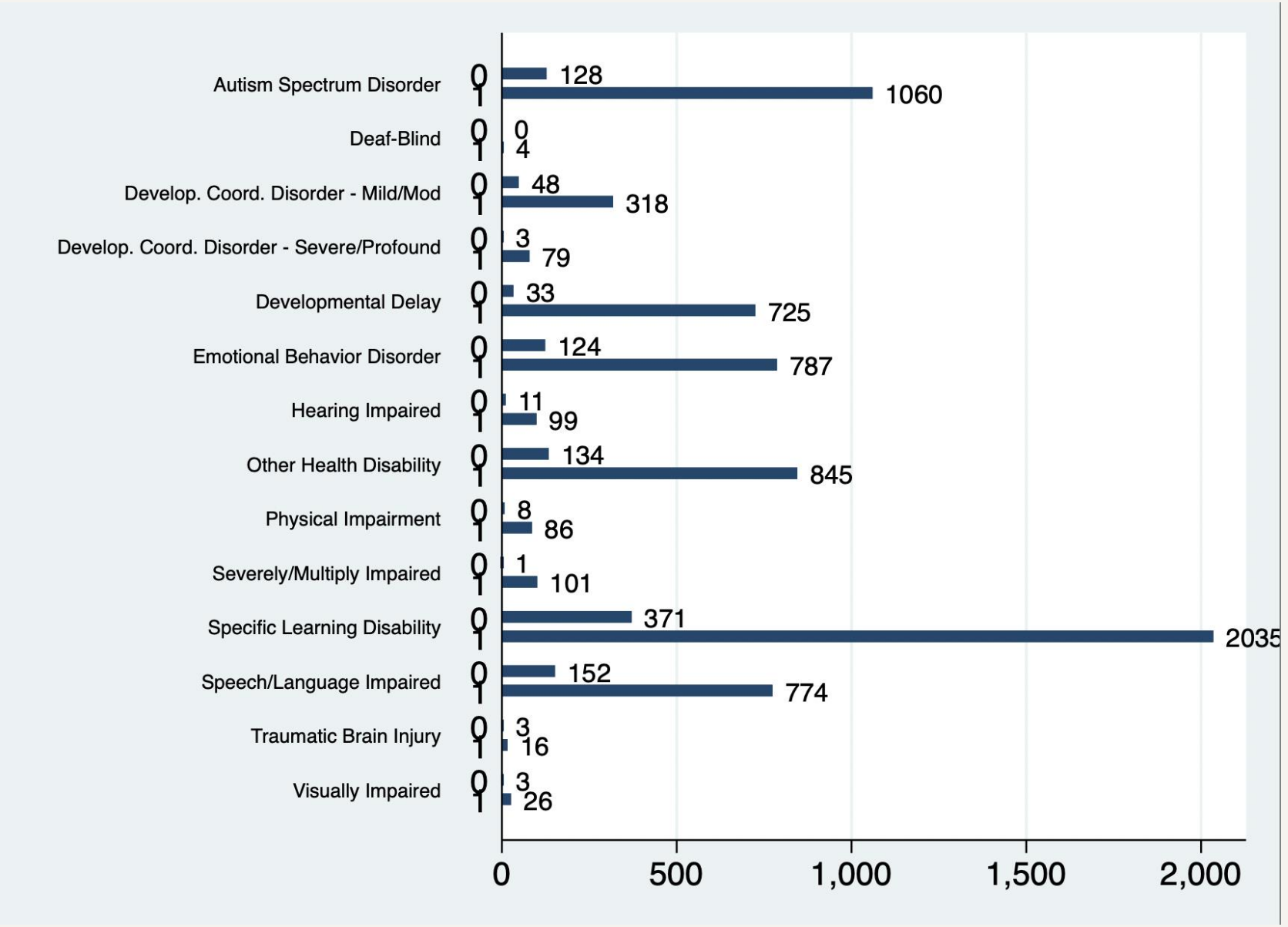


Data source: National Center for Education Statistics

Differences in Student Composition

Furthermore, we know that traditional public schools (TPS) often serve special education populations with more intense educational needs.

Prior research shows that charter schools are less likely to respond to enrollment inquiries from families with students with significant special needs.



Data source: Minnesota Department of Education

Differences in Student Composition

And these are just observable characteristics—students from IPS and Indy charter schools may vary on other dimensions that matter for student outcomes, such as:

1. Family engagement
2. Resources/capacity that facilitate use of school choice (e.g., ability to transport to/from school)
3. Characteristics related to programs only available through IPS due to economies of scale (which can also connect with "counseling out"* by charter schools)

*Counseling out practices do not necessarily have poor intentions. But regardless of the intentions, it can result in apples-to-oranges comparisons when comparing students across sectors. In appendix slides, I list ways that charter schools may counsel out/in specific students and families.

Differences in Student Composition

IPS and charter schools in the city diverge substantially in the composition of students served, which complicates comparisons of average differences in academic performance across sectors.

Empirically, IPS appears to serve students with greater economic and educational needs. Theoretically, IPS students face additional disadvantages because use of school choice is likely related to access to additional resources.

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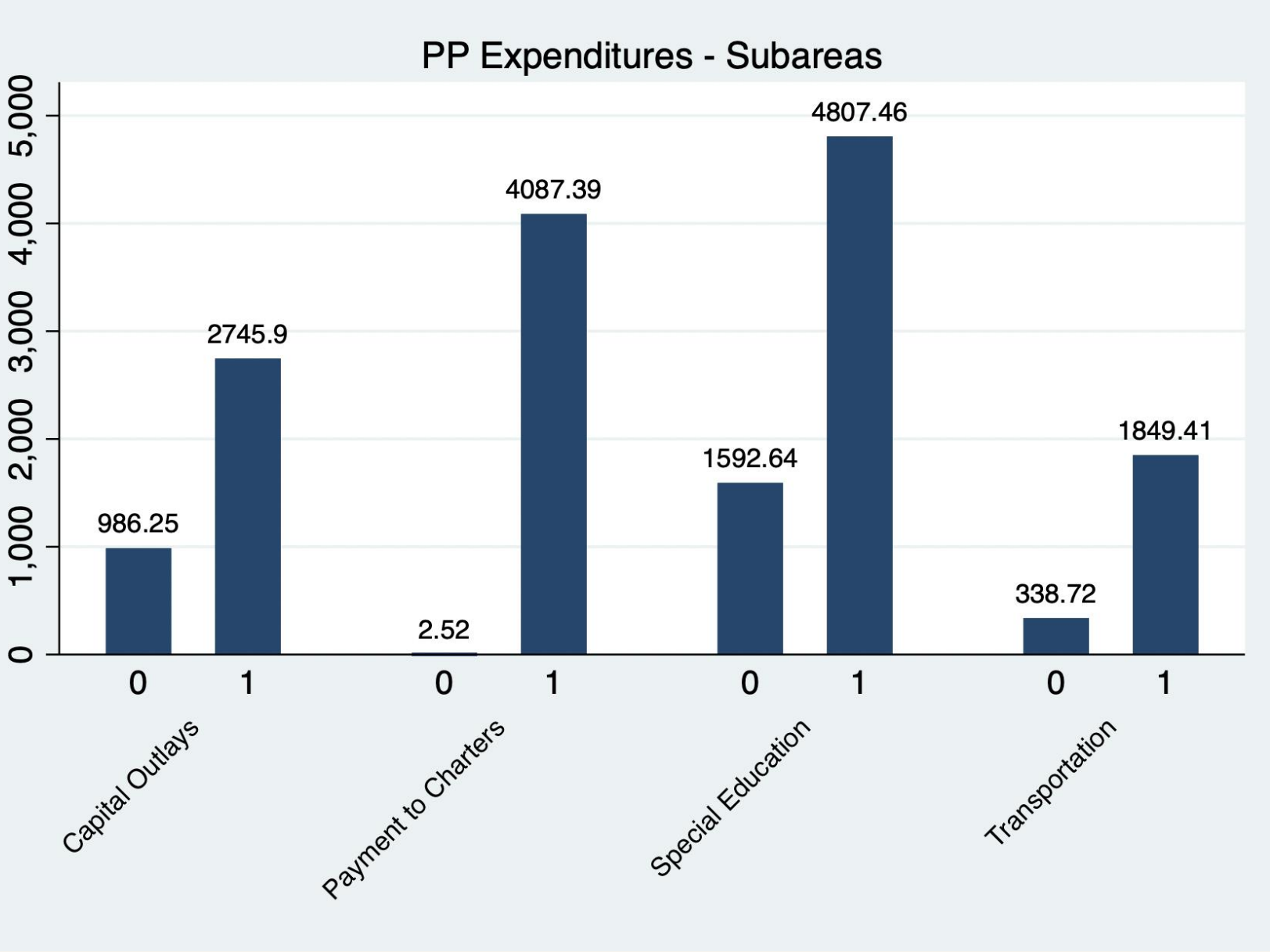
Differences in Spending

IPS spends more per pupil than Indy charter schools. However, it is hard to compare cost effectiveness for student outcomes across sectors because of diverging fiscal responsibilities.

Differences in Spending

IPS pays more than Indy charters on building costs, payments to charters, special education (see earlier slide on different populations), and transportation.

IPS and charters may have different benefit costs—IPS is obligated to participate in the state retirement system.



Data source: National Center for Education Statistics 2023

Differences in Spending

These differing costs will not disappear as charter enrollment grows. Someone needs to incur these expenses—and if charters serve more students, their relative “cost effectiveness” will diminish if they assume these fiscal responsibilities.

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What Can We Learn From New Orleans?

Doug Harris, professor at Tulane and head of the Education Research Alliance for New Orleans, is the leading expert on New Orleans' schools.

He published *Charter School City* in 2020, summarizing over a decade of his research on the city and its school system.

What Can We Learn From New Orleans?

In *Charter School City* (and other research), Harris concludes after New Orleans' substantial post-Katrina education reforms:

1. Achievement and postsecondary attendance improved overall; income and race gaps at worst stayed the same.

2. Expenditures per pupil increased by 13%; much of this was due to more administrative staff spending (66% increase) but also spending in areas like transportation (33% increase) and in purchases for services that individual CMOs might not be able to provide (33% increase).

3. Key to measurable improvement in the city was centralized government control over increasing school choice; "the mix of schools [in New Orleans] would have looked very different under a market-only regime, and likely would not have had such large effects on measurable student outcomes."

What Can We Learn From New Orleans?

Harris used his experiences studying New Orleans to inform a reflection on free market logic in education, "How free market logic fails in schooling—and what it means for the role of government", where he stresses how:

1. A students' peers affect their own outcomes; with substantial choice, this can lead to the segregation of families into different schools or schools "selecting" specific types of students for admission.
2. Families don't have equal ability to exercise choice; variation in transportation costs, geography of where schools are, resources for navigating complex systems, etc. mean that those with more capacity may be more likely to use choice.
3. Economies of scale are important to consider for schooling; substantial choice may lead to higher per pupil expenditures because smaller schools cannot distribute higher fixed costs across more pupils.

What Can We Learn From New Orleans?

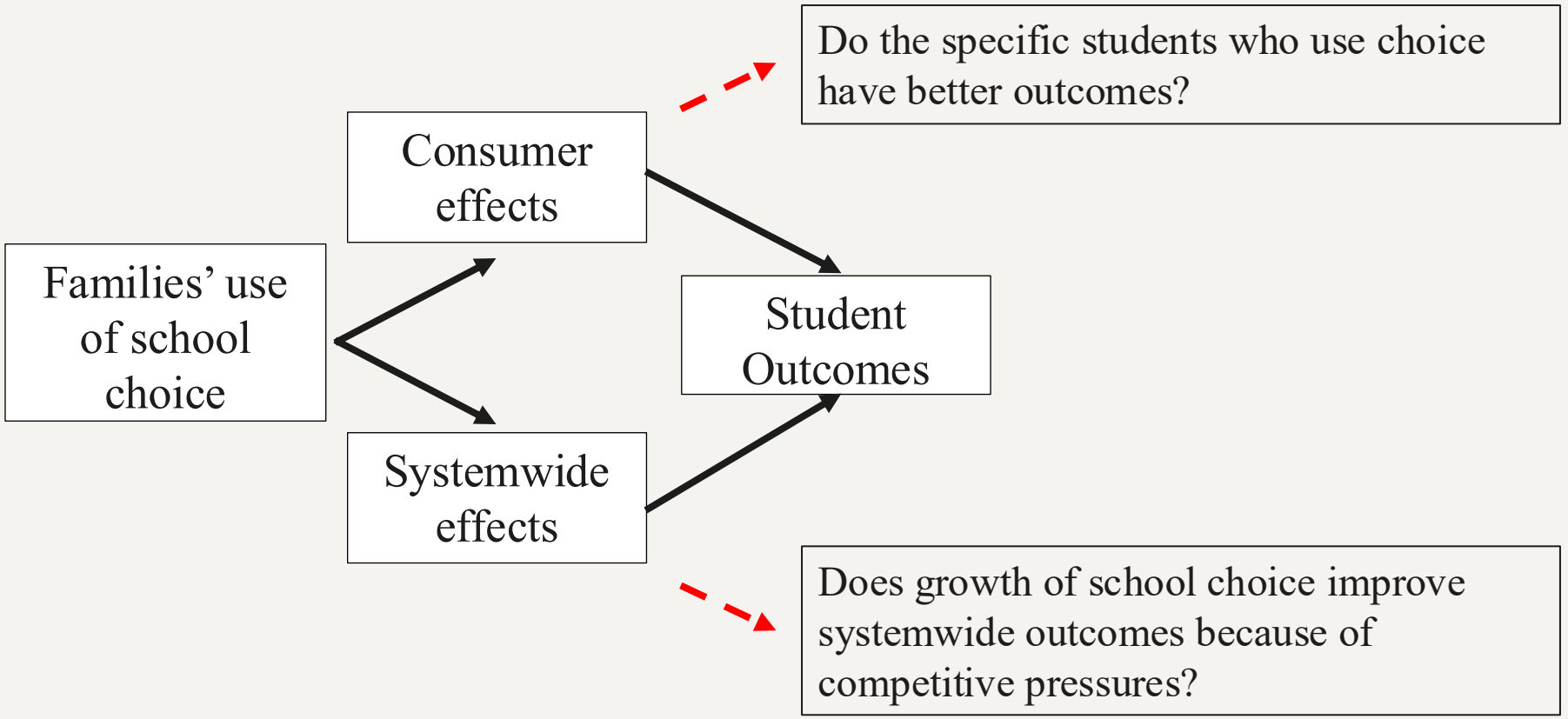
Implications for Indianapolis:

1. New Orleans provides little basis for expecting charter expansion to raise achievement when revenues are increasingly constrained (i.e., Senate Enrolled Act 1; stakeholder opposition to referenda). Harris (and coauthor Carroll) write about New Orleans: “States and cities seeking to save money or increase student achievement without additional resources may be disappointed [in trying to copy the New Orleans model].”
2. More choice in itself is not a panacea— at the very least, it must be coupled with strong centralized planning to negate the unintended negative consequences that result when free market logics are applied in education.

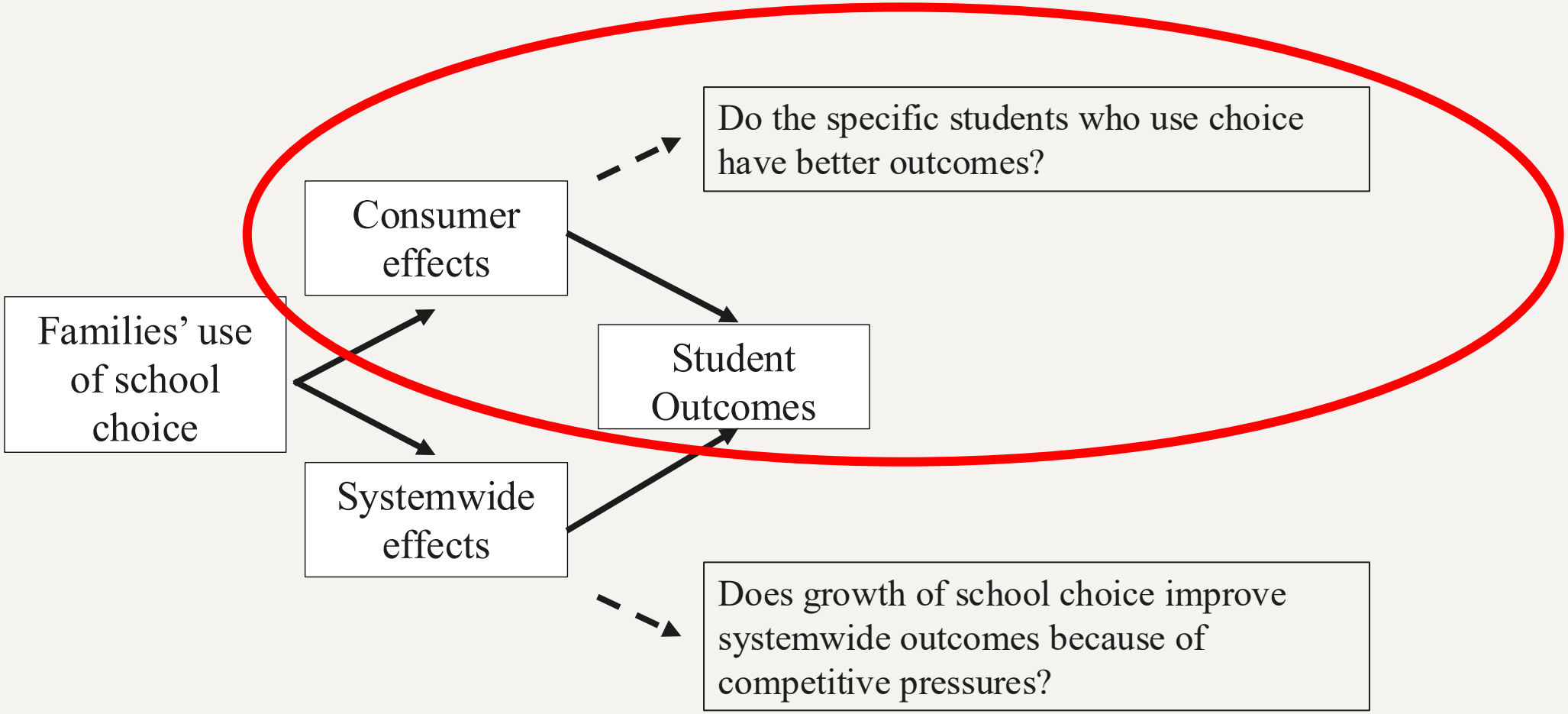
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What Can We Learn From CREDO?



What Can We Learn From CREDO?



What Can We Learn From CREDO?

The consumer charter Indy school effects reported by CREDO in 2022 are weak:

1. Does not consistently show significantly different test scores between charter versus district schools (just for mathematics in 2018-19).
2. Failing to combine innovation charter schools with other charter schools further inflates sector differences in test scores.

What Can We Learn From CREDO?

Results from CREDO should not be treated as definitive or “causal” :

1. The gold standard is a randomized controlled trial (RCT) to test the effectiveness of some “treatment” (i.e., attending a charter school)—CREDO (like many education studies) does not use an RCT.
2. CREDO matches students in charter schools to those in IPS on key factors that determine student test performance, but these factors are insufficient.

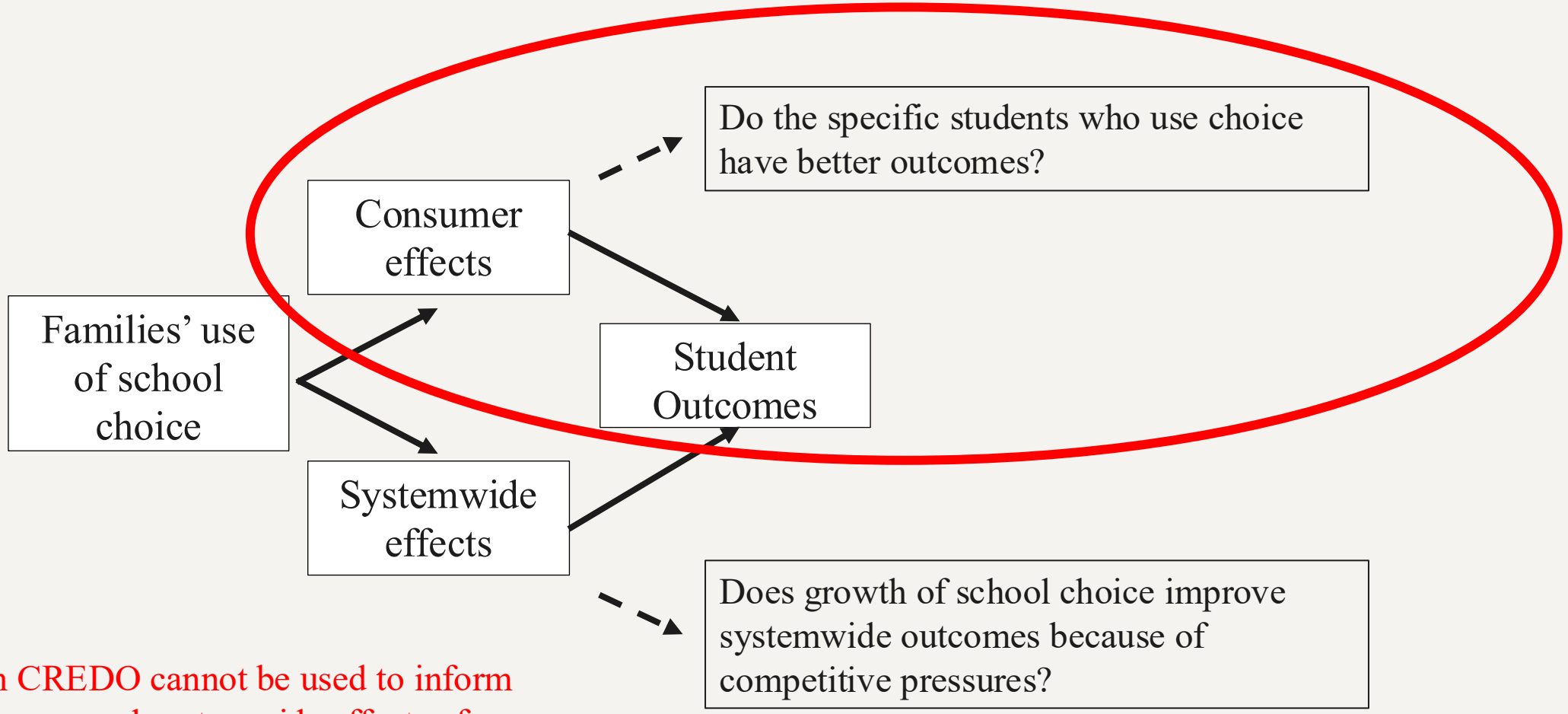
What Can We Learn From CREDO?

CREDO cannot establish an apples-to-apples comparison with its matching methodology:

1. Does not account for classroom or school-level factors, even though research shows that a student's peers matter for their outcomes (e.g., concentration of poverty or special education needs in IPS).
2. To identify economic disadvantage, CREDO matches on free/reduced-price lunch which we know is not captured the same across Indy sectors.
3. Cannot match on factors outside of student administrative databases that likely matter for student outcomes (e.g., family engagement, capacity to self-transport, characteristics that may lead to "counseling out" of students from charter schools).

Students who look the same based on CREDO's methodology may differ in important ways that determine both school choice use and outcomes. In the appendix, I present additional slides on a stylized example of why these limitations matter.

What Can We Learn From CREDO?



Evidence from CREDO cannot be used to inform policy questions around systemwide effects of charter school enrollment.

What Can We Learn From CREDO?

Consumer effects are not as useful for informing systemwide policies around choice:

1. Charter school growth induces fragmentation in a system, increases administrative burden on families, and decreases economies of scale.
2. Charter school growth changes the population of students who remain in the traditional public sector (e.g., more special education students or students who need stronger academic supports).

Even if there is a positive gain for students enrolled in a charter school (which is unclear given CREDO's limitations), growing the charter sector will not necessarily improve systemwide outcomes—in fact, the opposite may occur.

Beyond CREDO

What about other studies of Indy charter schools?

Johnson, A. H., McGee, J. B., Wolf, P. J., May, J. F., & Maloney, L. D. (2023). Still a Good Investment: Charter School Productivity in Nine Cities. *School Choice Demonstration Project*.

1. Not peer reviewed.
2. Does not actually conduct new achievement analysis—findings are projected based off the CREDO results.
3. Authors try to calculate ROI—they use revenue, not expenditures, but charter schools do not have the same fiscal responsibilities as traditional public schools.

Beyond CREDO

What about other studies of Indy charter schools?

Murphy, H., Cole, S., & Frisby, M. B. (2021). Mayor-sponsored charter school and traditional public-school student achievement. *Journal of Behavioral and Social Sciences, 8*, 13–29.

1. Peer reviewed but published in a low visibility outlet.
2. Same problematic methodology as the CREDO study.
3. Additional methodological issue where the sample of students analyzed include only those who stay in the same sector for multiple years—these are the students most likely to have the most resources to use choice (e.g., those with lower mobility, potentially related to their socioeconomic circumstances) or to be "counseled in" versus "counseled out" by charter schools.

Beyond CREDO

What about other studies of Indy charter schools?

Berends, M., & Waddington, R. J. (2018). School choice in Indianapolis: Effects of charter, magnet, private, and traditional public schools. *Education Finance and Policy*, *13*(2), 227-255.

Canbolat, Y. (2025). Effect of Controlled School Autonomy on Student Achievement: Quasi-Experimental Evidence from Portfolio Schools. *Education Finance and Policy*, *20*(4), 584-608.

1. Official peer-reviewed publication (MIT Press) of the well-regarded *Association for Education Finance and Policy.*
2. Still have limitations in methodology, as compared to an RCT.
3. Find no difference in academic performance for charter school students in Indy.

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School Choice in Indy

The research indicates that charter school growth in Indy has not meaningfully improved academic performance of students systemwide.

Evidence from studies that show higher performance for students in the charter sector is weak.

Growing the charter sector is unlikely to decrease per-pupil educational expenditures.

What Next?

1. When revenues available to spend are decreasing, there should be a move away from a fragmented system—to preserve economies of scale.
2. Tinkering with governance structures in Indy's education system may not lead to the transformative change necessary to substantially improve opportunities for students across the city, especially without a strong centralized decision-making authority.
3. This is especially the case if governance shifts do not change what happens in the classroom—the activity most proximal to students' experiences. Policy should refocus on the instructional core, e.g., providing high-dosage tutoring, ensuring high-quality instructional materials.

Appendix Slides

Useful References

On Community Eligibility Provision and FRPL reporting

- Koedel, C., & Parsons, E. (2021). The effect of the community eligibility provision on the ability of free and reduced-price meal data to identify disadvantaged students. *Educational Evaluation and Policy Analysis*, *43*(1), 3-31.
- Greenberg, E. (2018). New Measures of Student Poverty: Replacing Free and Reduced-Price Lunch Status Based on Household Forms with Direct Certification. *Urban Institute*.

Special Education and Charter Schools

- Bergman, P., & McFarlin Jr, I. (2018). *Education for all? A nationwide audit study of school choice* (No. w25396). National Bureau of Economic Research.

Useful References

On limited effectiveness of Indy charter schools

- Berends, M., & Waddington, R. J. (2018). School choice in Indianapolis: Effects of charter, magnet, private, and traditional public schools. *Education Finance and Policy*, *13*(2), 227-255.
- Canbolat, Y. (2025). Effect of Controlled School Autonomy on Student Achievement: Quasi-Experimental Evidence from Portfolio Schools. *Education Finance and Policy*, *20*(4), 584-608.

On limitations of school choice theory because of changing student populations and economies of scale

- Harris, D. N. (2024). How free market logic fails in schooling—and what it means for the role of government. *Educational Researcher*, *53*(2), 111-122.

Useful References

On New Orleans

- Buerger, C., & Harris, D. N. (2017). *How did the New Orleans school reforms influence school spending?* Education Research Alliance for New Orleans, Tulane University.
- Harris, D. N., & Carroll, J. M. (2025). *The New Orleans Post-Katrina School Reforms: 20 Years of Lessons*. Education Research Alliance for New Orleans, Tulane University.
- Harris, D. N. (2020). *Charter school city: What the end of traditional public schools in New Orleans means for American education*. University of Chicago Press.

Data Peers

- Mahalanobis distance matching factors (2009-2011): urbanicity, student demographic composition (race/ethnicity, SES), enrollment size, test achievement
- Peers:

Aiken County (SC)	Kileen ISD (TX)	Norfolk City (VA)
Bridgeport (CT)	Lafayette Parish (LA)	Richmond County (GA)
Buffalo (NY)	Leon County (FL)	Rochester (NY)
Caddo Parish (LA)	Little Rock (AR)	Rockford SD (IL)
Escambia County (FL)	Manatee County (FL)	Tacoma SD (WA)
Jackson Public SD (MS)	Muscogee County (GA)	

Business Peers

- Peers:

Charlotte-Mecklenburg (NC)	Cincinnati (OH)	Cleveland (OH)
Columbus (OH)	Grand Rapids (MI)	Jefferson County (KY)
Kansas City (MO)	Nashville (TN)	Milwaukee (WI)
Omaha (NE)	Pittsburgh (PA)	St. Louis (MO)

Charter School Counseling Out Practices

This non-comprehensive list is collated from *Charter School City* (Harris, 2020), p.126-127:

Ways charter schools select their students in New Orleans

- *School design*: offering programs attractive to specific subgroups; charging fees for activities/uniforms; having minimal convenient transportation options
- *Recruitment*: highlight how certain students are good/bad fits in marketing materials; hosting invitation-only recruitment events; indicating certain families' needs would not be met at the school
- *Admission*: Including questions on application forms that suggest certain families are unwelcome
- *Post-admission*: Expulsion of students; making life difficult for students so they choose to leave

Charter School Counseling Out Practices

Charter School City (Harris, 2020), p.128:

"Whether these modes of exclusion were inappropriate or illegal can be hard to judge. If schools are allowed, even encouraged, to specialize in serving specific student needs… then the practical implication is that some schools will be successful only with the students they are designed to serve. Was the school leader who told potential students, "this isn't the right fit," being helpful to those students? Perhaps, but these results still raise questions about "nonselective" schools."

How CREDO's Methodology Creates Apples-to-Oranges Comparisons

In an ideal evaluation of any policy/intervention (e.g., attending a charter school), participation would be randomly assigned.

Though this does not mean each student in a charter sector is the same as each student in traditional public schools (TPS), on average they will be on both observable and unobservable characteristics.

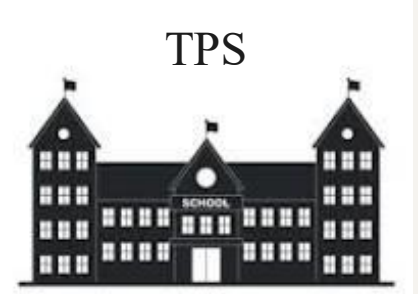




Charter



TPS



How CREDO's Methodology Creates Apples-to-Oranges Comparisons

Lacking random assignment, CREDO uses a matching method to find similar students in charter schools to those in TPS. This can lead to apples-to-oranges comparisons of students' outcomes if factors that are important for determining both outcomes and use of school choice are omitted from the matching algorithm.



Charter



Students are matched on:

- Feeder school
- Grade level
- Race/ethnicity
- FRPL status
- English learner status
- Special education status
- (approximately) Prior year test scores

TPS





How CREDO's Methodology Creates Apples-to-Oranges Comparisons

Lacking random assignment, CREDO uses a matching method to find similar students in charter schools to those in TPS. This can lead to apples-to-oranges comparisons of students' outcomes if factors that are important for determining both outcomes and use of school choice are omitted from the matching algorithm.





But a charter advantage could appear even when there is none; consider the following apples-to-oranges comparison that CREDO's methodology ignores:





- Special education, non-severe educational need
- Not FRPL, not direct cert
- Family has capacity to self-transport to use choice
- Educational profile was actively recruited by charter school
- In a classroom serving fewer students with direct certification and intense special educational needs

- Special education, intensive educational need
- Not FRPL, yes direct cert
- Family has limited capacity to self-transport to use choice
- Educational profile was not actively recruited by charter school
- In a classroom serving more students with direct certification and intense special educational needs

How CREDO's Methodology Creates Apples-to-Oranges Comparisons

This apples-to-oranges comparison problem is magnified in the methodology used in Murphy, H., Cole, S., & Frisby, M. B. (2021). Mayor-sponsored charter school and traditional public-school student achievement. *Journal of Behavioral and Social Sciences, 8*, 13–29.



Charter



The authors only include students in the same charter school from Grades K to 3.

Charter school students who could not maintain enrollment are excluded. Excluded from the charter sector averages then are those who may have been counseled out, with complex needs the sector could not serve, who had residentially unstable circumstances, etc.

TPS



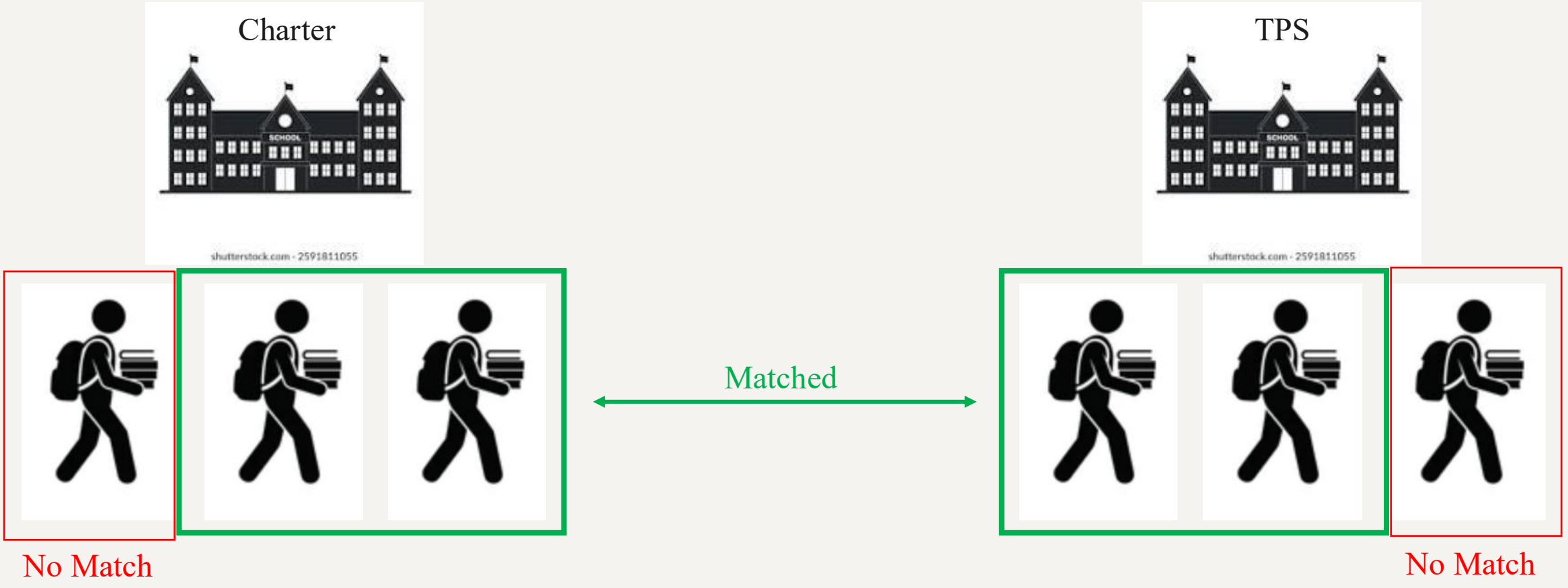


- Special education, non-severe educational need
- Not FRPL, not direct cert
- Family has capacity to self-transport to use choice
- Educational profile was actively recruited by charter school ***AND allows for continuous charter enrollment over several years***.
- In a classroom serving fewer students with direct certification and intense special educational needs

- Special education, intensive educational need
- Not FRPL, yes direct cert
- Family has limited capacity to self-transport to use choice
- Educational profile was not actively recruited by charter school
- In a classroom serving more students with direct certification and intense special educational needs

How CREDO's Methodology Creates Apples-to-Oranges Comparisons

Finally, CREDO's methodology can not produce direct evidence for what would happen to student outcomes if charter school enrollment share grew. It compares only (potentially poorly) matched individual students' outcomes across sectors…



How CREDO's Methodology Creates Apples-to-Oranges Comparisons

… but projecting CREDO's evidence to a citywide effect would require understanding how increased student enrollment in charter schools affects the system as a whole.

Charter

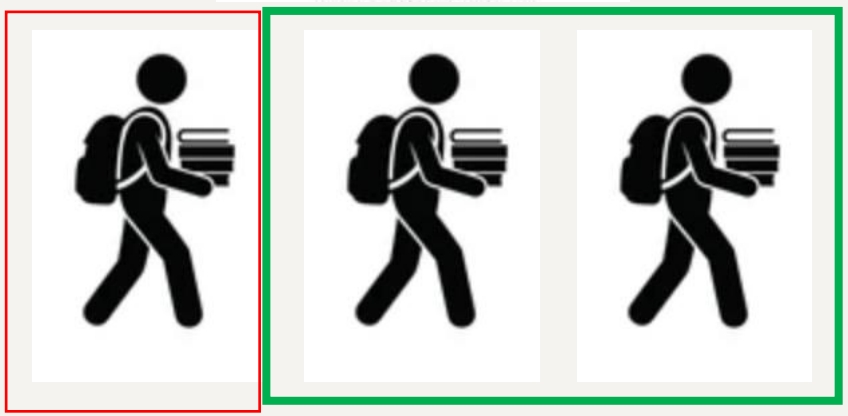


Enrollment

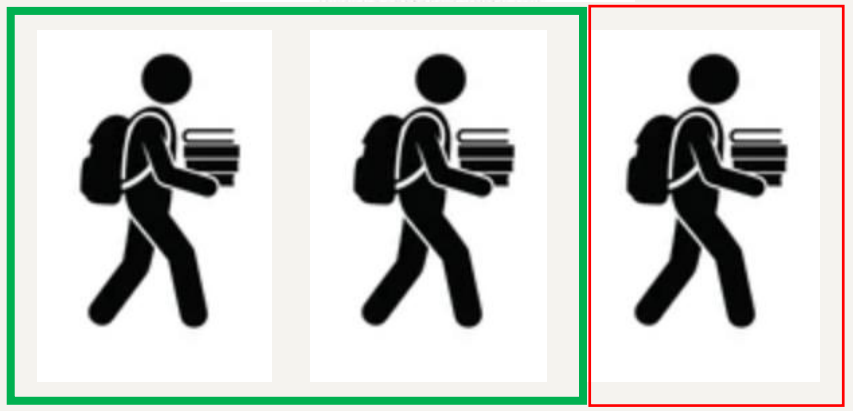
- Special education population
- Population with relatively lower capacity to use school choice
- Diseconomies of scale
- Administrative burden

TPS





Matched



No Match

No Match